

What is Budgetary Control? Explain its Advantages, Limitations and Techniques.

Budgetary control is a system of planning and controlling the activities of an organization through budgets.

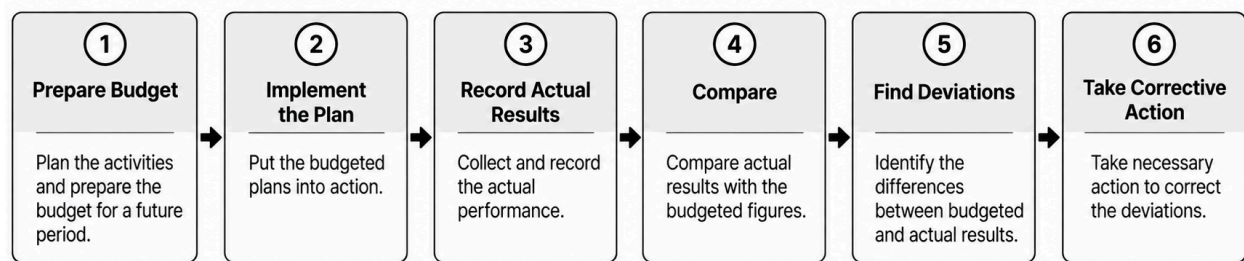
A **budget** is a plan expressed in numerical or monetary terms for a future period.

Objectives of Budgetary Control

The main objectives are:

1. **Planning** the future activities of the organization.
2. **Controlling expenditure** and avoiding unnecessary spending.
3. **Coordinating** the activities of different departments.
4. Providing **adequate working capital**.
5. Helping the organization to achieve its **goals**.
6. Comparing actual performance with planned performance.
7. Finding **deviations** and taking corrective action.

Process of Budgetary Control

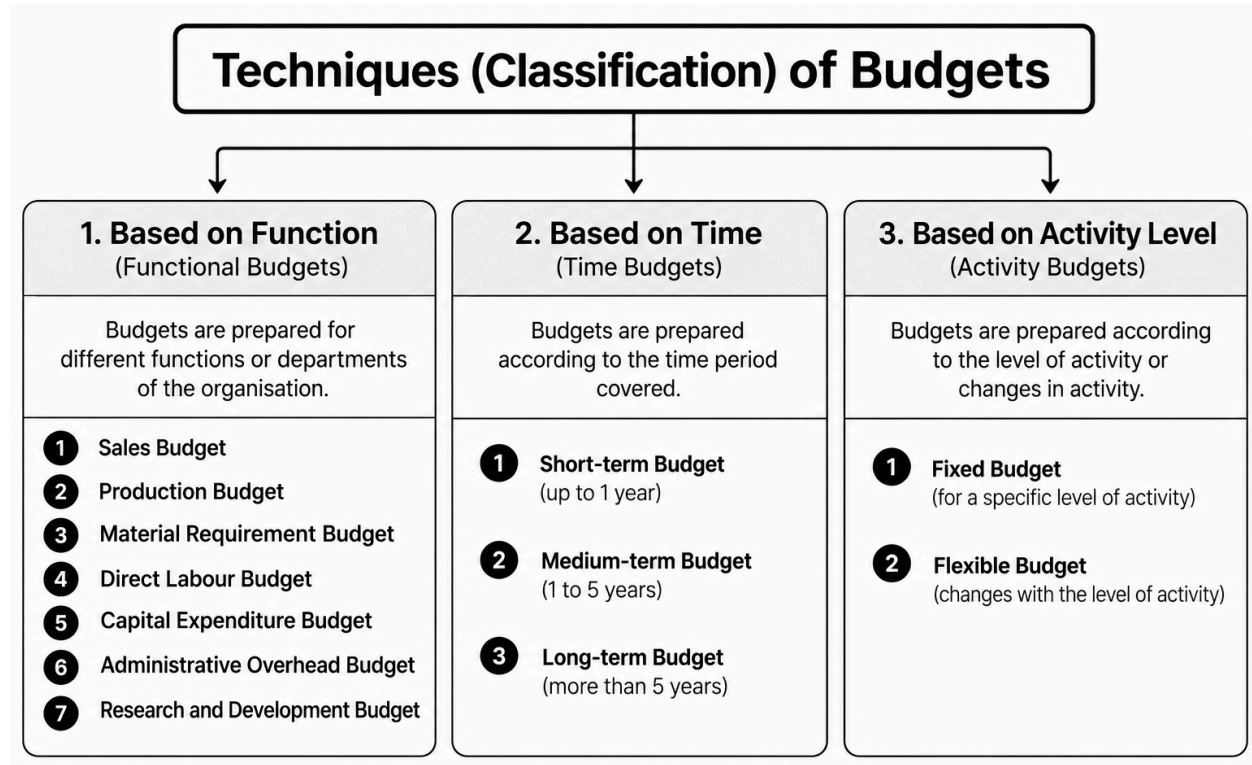


Example:

Budgeted Cost (for production)		Actual Cost (incurred)		Deviation (Actual – Budgeted)
₹ 1,00,000	–	₹ 1,20,000	=	₹ 20,000 (Adverse, i.e., over budget)

The manager finds the reason for the extra ₹20,000 and takes corrective action.

Techniques / Classification of Budgets



Advantages of Budgetary Control

1. Helps in Planning
2. Controls Expenditure
3. Improves Coordination
4. Measures Performance
5. Finds Deviations
6. Helps in Corrective Action
7. Proper Use of Resources
8. Helps in Decision-Making
9. Improves Efficiency
10. Helps Achieve Organizational Goals

Limitations of Budgetary Control

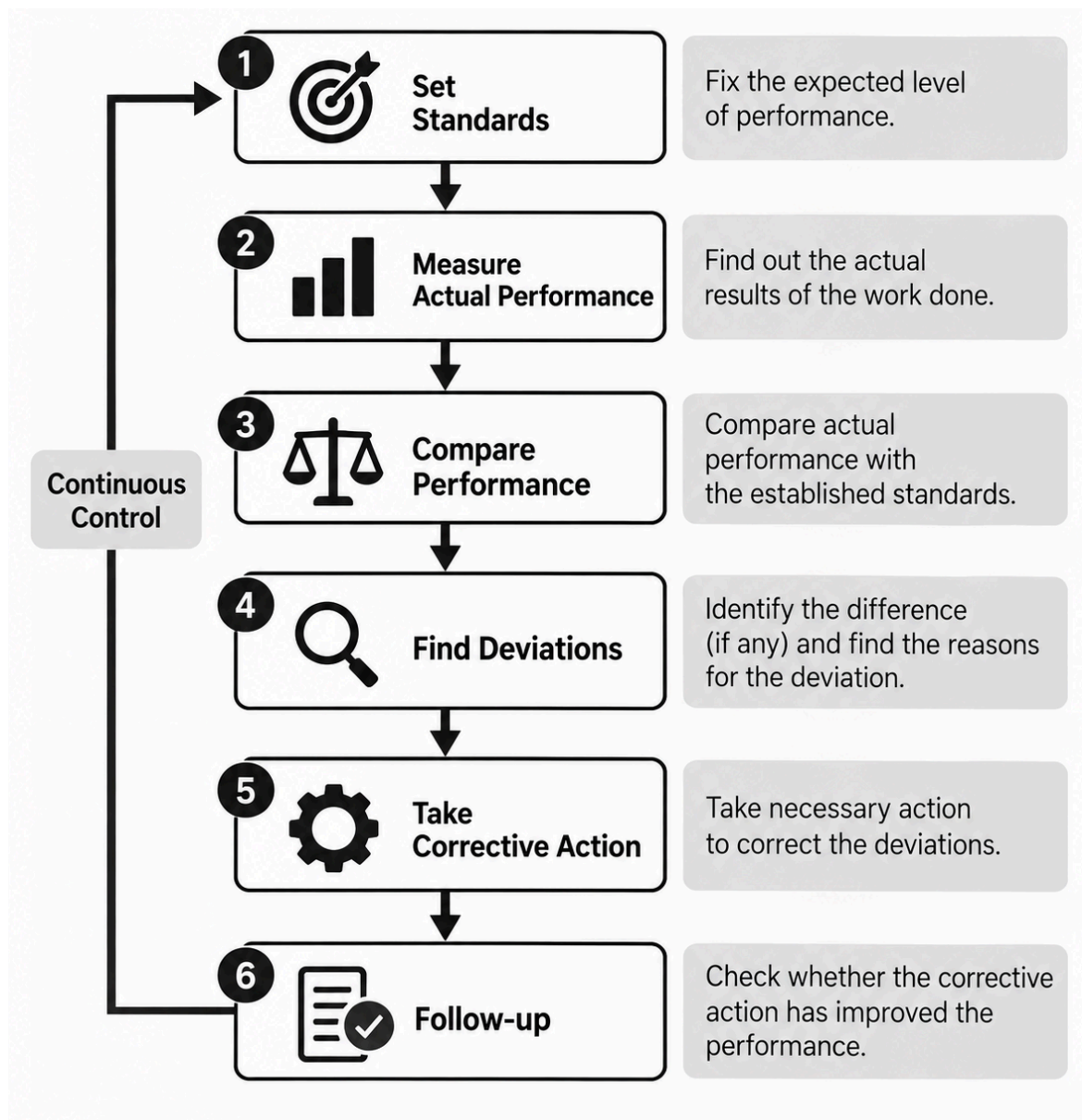
1. Based on Estimates
2. Future Changes
3. Time-Consuming
4. Costly
5. Lack of Flexibility
6. Employee Resistance
7. May Reduce Initiative
8. Depends on Accurate Information

Define Controlling. Explain the Process of Control and the Significance of Control in Management.

Controlling

Controlling is the process of checking whether the actual work is done according to the planned work and taking corrective action when necessary.

Process of Control



Significance of Control in Management

Control is important for the following reasons:

- 1. Helps to Achieve Goals:** Control checks whether organizational activities are moving towards the planned goals.
- 2. Finds Mistakes:** It helps managers identify mistakes and deviations in work.
- 3. Takes Corrective Action:** When actual performance is different from the plan, corrective action can be taken.
- 4. Improves Efficiency:** Control helps employees and departments use **time, money and resources** properly.
- 5. Helps in Better Planning:** The results of control help managers understand what went wrong and prepare better plans in the future.
- 6. Maintains Standards:** Control ensures that work is carried out according to the required standards.
- 7. Reduces Waste:** It helps reduce unnecessary use of materials, money, time and other resources.
- 8. Improves Coordination:** Control helps different departments work according to common organizational plans.
- 9. Helps in Decision-Making:** Managers get information about actual performance, which helps them make better decisions.
- 10. Ensures Organizational Discipline:** Regular checking encourages employees to perform their duties properly.

Simple Example of Control

